Deal Walkthrough: Banco Santander acquires Webster Financial

Yellow = not sourced yet (pull from Capital IQ). Everything else comes from Santander's 2/3/26 release, its 8/20/26 capital-increase notice and FY25 financial report, the Transaction Agreement, Webster's closing 8-K, Q4'25 call and Q1'26 and Q2'26 releases, Santander's Q1'26 deck, Webster's definitive proxy (4/23/26) and 5/18/26 supplemental 8-K (J.P. Morgan analyses), Huntington's and PNC's deal materials, S&P Global data as reported by Bank Director, Global Finance and S&P, Reuters or Banking Dive. "My calc" marks arithmetic on those inputs. Revised 10/18/26 against the uploaded filings.

1. 30-Second Executive Summary

- Santander acquired Webster Financial for about $12.2B in a mixed deal: 65% cash, 35% Santander shares (as ADSs). It closed 8/20/26.
- Multiple paid: 2.0x Q4'25 tangible book, about 12.7x trailing earnings (my calc), 10x 2028 consensus earnings and 6.8x 2028 earnings after cost savings. The premium was 14% to Webster's 3-day average price.
- Rationale: scale in the U.S., Webster's commercial franchise and deposit base, and a path to about 18% U.S. return on tangible equity by 2028.

2. Company Profiles

Banco Santander, S.A. (buyer)

- Madrid-based global bank organized in five global businesses: Retail & Commercial, Openbank, Corporate & Investment Banking, Wealth Management & Insurance, and Payments. 176M customers.
- FY25 (financial report): EPS €0.905, up 17%, and tangible NAV per share €5.76.
- Q1'26: underlying attributable profit €3.56B (+12% YoY), underlying RoTE 15.2%, CET1 14.4%.
- In the U.S., known for consumer finance (release). Santander U.S. in 2025 (FY25 report): underlying profit €1.54B, RoTE 10.8%, efficiency ratio 48.1%, NPL ratio 4.85%, 376 branches, net loans €132.7B against customer deposits €122.0B. At Mar-26 the NPL ratio was 4.64% and cost of risk 1.57%.

Webster Financial Corporation (target)

- Stamford, CT holding company for Webster Bank, N.A. About $86B in assets. Three lines of business: Commercial Banking, Healthcare Financial Services and Consumer Banking. Core footprint runs from the New York metro area to Rhode Island and Massachusetts.
- ROTCE was 17% for FY25 (Q4'25 call), 16.18% in Q1'26 and 16.67% in Q2'26. Diluted EPS by quarter: Q1'25 $1.30, Q2'25 $1.52, Q3'25 $1.54, Q4'25 $1.55, Q1'26 $1.50, Q2'26 $1.56.
- Q2'26: revenue $740.0M, net interest margin 3.26%, ROTCE 16.67%, efficiency ratio 47.74%, EPS $1.56. Loans $57.9B, deposits $70.3B (including $9.3B of health savings account deposits), NPLs 0.74% of loans.

3. Deal Terms

- Equity value $12.2B (€10.3B): $48.75 in cash plus 2.0548 Santander ADSs per Webster share. The stock leg was worth $26.25 at announcement (€10.79 3-day VWAP, EUR/USD 1.1840), so $75.00 in total.

- Premium: 14% to Webster's 3-day VWAP of $65.75 (period ended 2/2/26).
- Issuance at closing (Santander's 8/20/26 notice): 329,846,438 new Santander shares at €10.7896 each, about €3.56B, equal to about 2.2% of Santander's share capital after the increase. That implies about 160.5M Webster shares exchanged and about $7.8B of cash paid (my calc: new shares ÷ 2.0548, then × $48.75). Santander shareholders approved the share issuance at the 3/27/26 AGM.
- Financing: self-funded from excess capital and future capital generation (release). The 35% stock portion is newly issued Santander shares. Santander says buyback targets are unchanged.
- Advisors: Santander used Centerview, Goldman Sachs and BofA Europe DAC, with Davis Polk and Uría Menéndez as legal counsel. Webster used J.P. Morgan (fairness opinion), Piper Sandler and Wachtell Lipton.
- Protections: $489M termination fee payable by Webster in specified cases; no reverse termination fee payable by Santander; outside date 2/3/27.
- Closing mechanics (Webster's 8/20/26 8-K): Webster reincorporated into a Virginia subsidiary, Santander acquired it by statutory share exchange, it was merged into Santander Holdings USA, and Webster Bank, N.A. was merged into Santander Bank, N.A. Webster's Series F and G preferred stock became SHUSA Series H and I preferred. Webster's common and preferred stock were delisted from the NYSE on 8/20.
- Timeline: signed 2/3/26; Webster holders approved 5/26; OCC 6/12; ECB 7/21; Fed 8/4 (129 days after application); closed 8/20.

4. Strategic Rationale (why this deal, why now)

- U.S. profitability gap: Santander's FY25 report shows U.S. RoTE of 10.8% (underlying) and an efficiency ratio of 48.1%, against targets of 18% RoTE and below 40% efficiency by 2028 (the release says these would rank top-five and top-three among the 25 largest U.S. banks, on Visible Alpha consensus). Barclays, quoted by Reuters, used the same 10.8%. The Group target is above 20% RoTE by 2028. Ana Botín has said a global bank has to be present in the U.S.
- Bolt-on, not a transformation: Webster is about 4% of Santander's assets, and Santander says the deal fits its bolt-on strategy and strict capital hierarchy. It approved a €5B buyback the same day and says its buyback targets (at least €10B for the 2025 and 2026 results) are unchanged. The release also notes U.S. profit after tax grew an average of 31% a year over the past three years.
- Funding: Webster's deposit base improves the combined net loan-to-deposit ratio from Santander U.S.'s 109% to about 100% (release).
- Business mix: pairs Santander's consumer finance strength with Webster's commercial banking, and fills in Santander's retail branch footprint, particularly in Connecticut (Christiana Riley, in the release).
- Scale: the combined U.S. business has about $327B of assets, $185B of loans and $172B of deposits pro forma at 12/31/25. Santander calls it a top-ten U.S. retail and commercial bank by assets and a top-five deposit franchise across key Northeast states; Banking Dive called Santander Holdings USA the 19th-largest U.S. bank, so be ready for that question.
- Regulatory backdrop: the Fed's order noted that the Justice Department found no significantly adverse competitive effect.

5. Valuation & Multiples

- P/TBV: 2.0x on Q4'25 tangible book of $37.20 (Santander; $75 ÷ $37.20 is 2.02x). About 1.77x at the unaffected $65.75, and about 1.93x on June 2026 tangible book of $38.81 (my calc).
- Trailing P/E (my calc): Webster's four reported 2025 quarters sum to $5.91 of diluted EPS. $65.75 is about 11.1x that and $75 is about 12.7x. On the latest four quarters ($6.15 through Q2'26), $75 is about 12.2x.
- Forward P/E (Santander): 10x 2028 consensus, or 6.8x after projected cost savings. Backing those out gives implied 2028 EPS of about $7.50 and $11.03 per Webster share (my calc).
- Santander's own multiples (my calc, using the €10.79 3-day VWAP, not a closing price): about 11.9x FY25 EPS (€0.905) and about 1.87x tangible NAV per share (€5.76). Santander is paying Webster's 2.0x tangible book with stock that trades at about 1.9x its own.
- Earnings-yield view (my calc): at $75 Santander is buying trailing earnings at a yield of about 7.9% ($5.91 ÷ $75), while its own stock yields about 8.4%. So the stock leg alone doesn't create accretion. The 7-8% by 2028 rests on the $800M of savings, Webster's earnings growth and what the excess capital funding the cash leg would otherwise have earned. This is a simplification that ignores financing cost and FX.
- Sanity check: 2.0x P/TBV divided by a 16.7% ROTCE gives about 12x earnings, consistent with the trailing figures above (my calc).
- How the price was set and how it compares to precedent deals and public comps: see sections 5A and 5B below.
- Still open: [CapIQ: current (October 2026) trading multiples for the peer set, and closing-price multiples for WBS and SAN on 2/2/26]

5A. How the Price Was Set

- Negotiated, not auctioned: the proxy says the terms were set through arm's-length negotiations between Webster and Santander, and that J.P. Morgan was not authorized to solicit interest from any other party.
- J.P. Morgan was engaged on 1/29/26. It gave its oral opinion at Webster's 2/2/26 board meeting and a written opinion dated 2/3/26, using closing prices on 1/30/26 (proxy and Webster's 5/18/26 8-K). The three analyses in those disclosures (I did not see a precedent-transactions analysis in them):
  - Public trading multiples: ten regional banks (First Horizon, SouthState, UMB, Valley National, Columbia Banking, Zions, Old National, Independent Bank Corp., Eastern Bankshares, F.N.B.). Reference range of 9.4x to 11.7x price to 2026E EPS, which implies $62.00 to $76.95 per Webster share.
  - P/TBV regression against 2026E ROATCE: reference range of 1.71x to 1.90x, applied to Webster's $37.20 tangible book and management's 2026E ROATCE of 15.8% to 17.8%. That implies $63.50 to $70.65.
  - Dividend discount analysis: management projections, a terminal value on 2031 net income at 9.0x to 11.0x forward earnings, a cost of equity of 8.00% to 10.00% and a CET1 target of 10.5%. That implies $65.15 to $80.75.
- Where $75 sits (my calc): inside the P/E range near its top, inside the dividend discount range and above its $72.95 midpoint, and $4.35 above the top of the P/TBV regression range. Backing out

J.P. Morgan's P/E range implies management 2026E EPS of about $6.58 to $6.60, so $75 is about 11.4x 2026E EPS, versus about 10.0x at the $65.77 reference close.

- Santander's framing: 2.0x Q4'25 tangible book, 10x 2028 consensus EPS, 6.8x after cost savings, about 15% return on invested capital and 7-8% EPS accretion. My reverse-engineering: 10x implies $7.50 of 2028 EPS and 6.8x implies $11.03, a gap of $3.53 per share, or about $570M on roughly 160.5M shares. Against $800M of pre-tax savings that implies a tax rate of about 29%. Santander hasn't disclosed its method, so treat this as a consistency check.
- Premium versus synergies (illustrative, my calc): the premium over the unaffected $65.75 is about $9.25 per share, or about $1.5B across 161.2M shares outstanding at 12/31/25. $800M of pre-tax savings at an assumed 25% tax rate is $600M a year, which at Santander's own roughly 11.9x P/E is about $7.2B before one-off integration costs. I did not find integration costs in the materials I read, and the tax rate and multiple are my assumptions.
- Webster board's stated reasons (proxy): the large cash portion lets holders realize a price well above Webster's all-time trading high while limiting market and execution risk, and the stock portion lets them share in Santander's upside.
- The two headline prices reconcile. Santander's $75.00 values the stock leg at the 3-day average of €10.79 and EUR/USD 1.1840. Webster's $75.59 (proxy and press release) uses Santander's $13.06 ADS close on 2/2/26. The exchange ratio is the same. The $12.2B and $12.3B equity values are the same difference: both imply about 162.7M fully diluted shares (my calc).
- Premium, by reference price: 14% to the 3-day VWAP of $65.75 (Santander); 16% to the 10-day VWAP at $75.59, and 9% to the all-time-high close (Webster press release, as reposted). Webster's own 2/2/26 close was $66.00 (proxy), so $75.59 is about 14.5% above it (my calc).

5B. Comparables

Recent U.S. bank deals (announced 9/2025 to 2/2026)

- Fifth Third / Comerica (10/6/25): $10.9B, all stock, 20% premium to the 10-day VWAP (company release). P/TBV about 1.7x: $82.88 over Comerica's $47.96 tangible book is 1.73x (my calc), though third-party figures range from 1.56x to 1.75x, so verify. Reuters Breakingviews noted Comerica's adjusted ROE was 7% versus Fifth Third's 17%. Fifth Third guided to 9% EPS accretion.
- Huntington / Cadence (10/27/25): $7.4B, all stock. 1.7x tangible book, 11.7x 2026 consensus EPS and 8.2x synergy-adjusted EPS (Huntington's deal call). About 10% accretive to 2027 EPS, 7% tangible book dilution with a three-year earnback.
- PNC / FirstBank (9/2025): $4.1B, 70% stock and 30% cash. About 2.3x tangible book per S&P Global Market Intelligence, the highest bank-deal multiple of 2025 at that point. 3.8% tangible book dilution with an earnback of about 3.3 years (PNC presentation, via Banking Dive).
- Santander / Webster (2/3/26): $12.2B, 65% cash and 35% stock. 2.0x tangible book, 10x 2028 EPS (6.8x after savings), about 11.4x 2026E and 12.7x trailing EPS (my calc), 7-8% EPS accretion by 2028.
- Read-across (my interpretation): on P/TBV Santander paid more than both all-stock deals (about 1.7x) and less than PNC (about 2.3x). Webster's ROTCE of about 17% versus Comerica's 7% ROE is the usual explanation for the gap to Fifth Third. Santander and PNC both paid part of the price in cash. Multiples are not like-for-like: Huntington's 11.7x is on 2026 EPS and Santander's 10x is on 2028 EPS.

Market-wide pricing

- S&P Global Market Intelligence: acquirers paid a median 150% of tangible common equity as of 9/2/25, versus 131% in 2024 and 124% in 2023 (Bank Director's 2026 M&A survey). Piper Sandler puts the median price paid at about 141% of tangible book (Global Finance). Wipfli, using S&P Capital IQ Pro, shows a median P/TBV of 1.45x across 45 U.S. bank deals in Q2 2026. At 2.0x, Santander paid well above the market median.

Public comps (J.P. Morgan's set, as of 1/30/26)

- Price/2026E EPS: median 10.35x, range 9.4x to 11.7x. P/TBV: median 1.65x, range 1.30x to 1.90x. 2026E ROATCE: median 14.7%, range 12.4% to 17.9%. (Medians are my calc from J.P. Morgan's table.)
- Webster's management 2026E ROATCE of 15.8% to 17.8% sits above the peer median. At $75 the deal is about 11.4x 2026E EPS and 2.02x tangible book, roughly 10% and 23% above the peer medians (my calc). At the unaffected price Webster was about 10.0x and 1.77x, in line with to slightly above peers.

Market context

- White & Case calls it Santander's first U.S. retail bank acquisition in about 17 years and the third-largest U.S. bank deal since 2010. S&P Global counted 81 U.S. bank deals announced in the first half of 2026, the most for a first half since 2021, and a median announcement-to-completion time of 187 days in 2024, 134 in 2025 and 94 so far in 2026 (via Global Finance). Santander / Webster took 198 days (my calc), longer than the median, which fits a large cross-border deal.

6. Synergies and Accretion

- Cost: about $800M pre-tax at full run-rate by year-end 2028, roughly 19% of the combined cost base. The figure includes delivery of Santander U.S.'s own organic plan. Efficiency ratio below 40% by 2028.
- Revenue: the release cites revenue opportunities but gives no number.
- Accretive: about 7-8% to Group EPS by 2028, about 15% return on invested capital.
- Capital: Group CET1 12.8% post-closing, guided at 12.8-13% by year-end 2026, over 13% by 2027.
- Cross-check (my calc, using about 160.5M Webster shares): 10x implies about $1.2B of 2028 Webster earnings and 6.8x implies about $1.8B. The roughly $0.6B gap is consistent with $800M of savings after tax.

7. Market Reaction

- Buyer: Santander fell as much as 5% on 2/4 and was down 3.7% by 09:58 GMT (Reuters).
- Seller: [CapIQ: WBS move on 2/3-2/4]
- Interpretation (Reuters/Barclays): analysts liked the strategy but flagged execution risk on the cost savings and integration sequencing, and a perceived shift from earlier messaging on organic growth and buybacks. Botín said there would be no more bolt-on acquisitions over the next three years.

8. Personal Opinion (draft; make it yours)

"I think this is a strategically sound deal for Santander. It adds a commercial franchise and a low-cost deposit base to a consumer-heavy U.S. business and gives it a credible path to about 18% RoTE. The

price is full at 2.0x tangible book, so the case depends on delivering about $800 million of savings by 2028. The market's concern was execution, not the strategy."

Your own angles (label these as your view, not from the filings): Low-cost deposits are worth more when rates are higher, because the gap to market funding widens. Webster's HSA deposits are sticky and cheap (about 0.17% cost versus about 1.88% for total deposits, Q2'26 release). The roughly six-and-a-half-month close, with Fed approval at 129 days, points to a friendlier M&A approval climate. A sourced data point on rate sensitivity: on its Q4'25 call Webster assumed a 30% overall deposit beta for the cycle, and its cost of deposits was 1.91% in December 2025.

Sample Answer (about 2 minutes)

"One deal I've followed is Santander's acquisition of Webster Financial, announced February 3rd and closed August 20th."

"Santander paid about $12.2 billion for Webster, a Stamford, Connecticut commercial bank with about $86 billion in assets. Webster holders received $48.75 in cash plus 2.0548 Santander ADSs per share, about $75 at announcement and a 14% premium. It's 65% cash and 35% stock, with the cash funded from Santander's excess capital."

"The price is about 2.0 times tangible book, 10 times 2028 earnings, and 6.8 times after cost savings. Webster earns a return on tangible equity of about 17 percent, which supports that 2.0 times multiple."

"The rationale is about the U.S. business. Santander's U.S. return on tangible equity was about 11 percent last year, well below the group, and it targets 18 percent by 2028. Webster brings commercial banking and a low-cost deposit base, including a healthcare savings franchise, which improves the combined loan-to-deposit ratio from 109 percent to about 100 percent. That funding is worth even more when rates are higher. The combined U.S. business has about $327 billion in assets."

"Santander expects eight hundred million dollars of pre-tax cost savings by 2028, about 19 percent of the combined cost base. It guides to 7 to 8 percent EPS accretion, with CET1 at 12.8 percent at closing."

"Santander's shares fell as much as 5 percent on announcement, with analysts flagging execution risk and a shift away from buybacks as the U.S. priority. The Fed approved on August 4th, the last major approval, and the deal closed shortly after, which points to a more open M&A environment."

"Overall, I think it's strategically sound but fully priced, so it hinges on delivering the savings."

Follow-Up Questions and Sample Answers

1. Why pay 2.0x book? What supports the valuation?

Webster earns a ROTCE of about 17 percent, and a bank with returns that high normally trades at a premium to book. Dividing 2.0x by 16.7 percent gives about 12 times earnings, which matches the roughly 12.7 times FY25 and 12.2 times trailing P/E I calculated at the deal price. Santander's own stock trades at about 11.9 times earnings and 1.9 times tangible NAV on my math, so it's paying roughly its own multiple. It also frames the deal as 6.8 times 2028 earnings after cost savings. For precedent comparison I'd look at other recent regional bank deals.

Precedents: Fifth Third / Comerica and Huntington / Cadence were both about 1.7 times tangible book, all stock, and PNC / FirstBank was about 2.3 times, so 2.0 times sits in the middle of recent large deals but well above the roughly 1.45 to 1.5 times market median. Against J.P. Morgan's ten public comps,

which had a median of 1.65 times, Webster at 2.0 times is a premium, which its higher ROTCE partly supports.

2. Was the deal accretive or dilutive, and how do you know?

Santander guides to about 7 to 8 percent accretion to Group EPS by 2028 and about 15 percent return on invested capital. I haven't built my own EPS bridge. On trailing numbers Santander is buying earnings at about a 7.9 percent yield with stock that yields about 8.4 percent, so the accretion has to come from the savings, Webster's growth and the cash leg being funded from excess capital. My other check was that 10 times and 6.8 times 2028 earnings differ by about $0.6 billion, which matches $800 million of savings after tax, so the company's multiples are internally consistent.

3. Where do the synergies come from, and are they realistic?

Santander guides to about $800 million, roughly 19 percent of the combined cost base, but that figure includes delivery of Santander U.S.'s own organic savings plan, so it isn't all Webster-driven. Webster's quarterly adjusted expenses of about $367 million annualize to roughly $1.5 billion, so if all $800 million came from Webster it would be over half of Webster's base, which is implausible (my calc). The figure is measured against the combined base. Santander doesn't itemize the savings. The risks are integration timing and branch overlap, and Barclays flagged execution of the synergies as the main risk.

4. How was it financed?

Santander says it is self-funded from excess capital and future capital generation. 65 percent of the consideration is cash, roughly $7.8 billion by my math. The 35 percent stock portion is 329.8 million newly issued shares at €10.79, about €3.56 billion or 2.2 percent of Santander's capital. CET1 is guided to 12.8 percent after closing and over 13 percent by 2027, and Santander says it keeps its buyback targets.

5. What's the strategic rationale? Why now?

Santander's U.S. returns lag the group. Webster is a commercial bank with low-cost deposits that Santander's U.S. unit lacked, and it brings the loan-to-deposit ratio from 109 percent to about 100 percent (Santander U.S.'s own FY25 loans of €132.7 billion over deposits of €122.0 billion confirm the 109 percent). It also fits Botín's view that a global bank has to be in the U.S., and Santander gets there with a bolt-on of about 4 percent of group assets.

6. What deal protections were in the agreement?

Webster owed a $489 million termination fee only in specified cases, such as a competing bid or an adverse board recommendation. The deal closed, so nothing was paid. There was no reverse termination fee payable by Santander, which means regulatory risk sat more with Webster. The outside date was February 3, 2027.

7. What was the market's reaction and why?

Santander fell as much as 5 percent. Analysts liked the strategy but pointed to execution risk and a shift in messaging from buybacks toward U.S. dealmaking. Botín responded that there would be no more bolt-ons for three years.

[Add Webster's move once pulled from CapIQ]

8. Were there regulatory hurdles?

It needed Santander shareholder approval of the share issuance (March 27), Webster shareholder approval (May 26), the OCC (June 12), the ECB (July 21) and the Federal Reserve (August 4, 129 days after the application). The Fed noted that the Justice Department found no significantly adverse effect on competition, and it recorded one commenter who raised concern about credit decisions being made abroad.

9. How does it fit broader industry trends?

Banking Dive called it the largest U.S. bank deal of 2026 as of the Fed approval. Other recent U.S. regional deals include Huntington / Cadence and PNC / FirstBank. For a fuller industry view I'd add consolidation data.

S&P Global counted 81 U.S. bank deals in the first half of 2026, the most for a first half since 2021, and the median time from announcement to completion has fallen from 187 days in 2024 to 134 in 2025 and 94 so far this year. Santander / Webster took 198 days, longer than the median, which fits its size and cross-border structure.

10. Was this a better deal for the buyer or the seller?

Webster holders got a 14 percent premium to the 3-day average, 65 percent of it in cash, and Webster's CEO now runs Santander Bank, N.A. Santander gets scale and a stronger deposit franchise, but pays a full price. I think the seller benefited more in the short term and Santander's outcome depends on the savings arriving.